

International Political Economy (SOCS-SHU 222)

DEVELOPING COUNTRIES AND INTERNATIONAL

FINANCE I: THE LATIN AMERICAN DEBT CRISIS

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Developing Countries and International Finance I:

The Latin American Debt Crisis

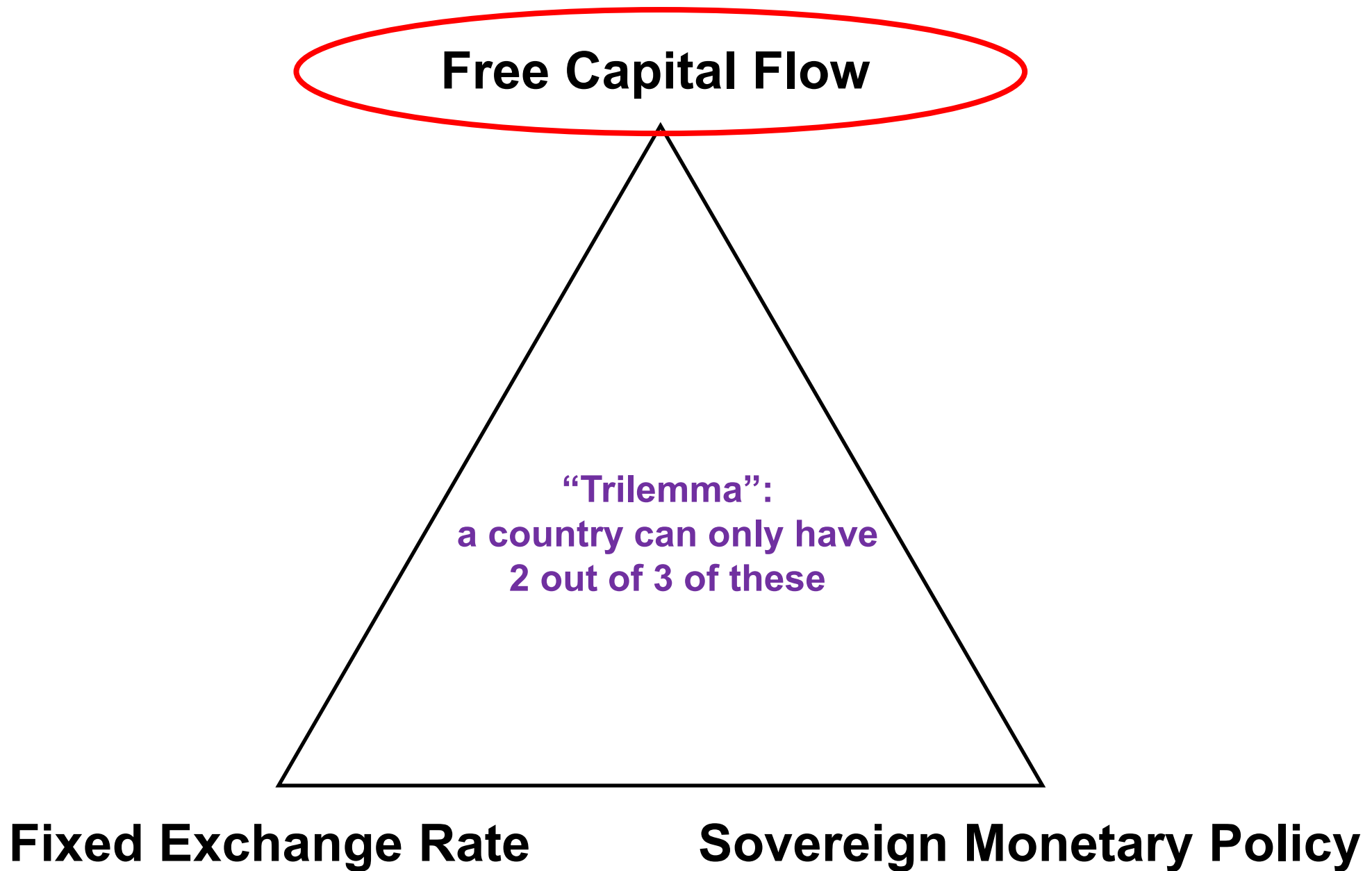
READING ASSIGNMENT:

Oatley Chapter 14

NYU
上海

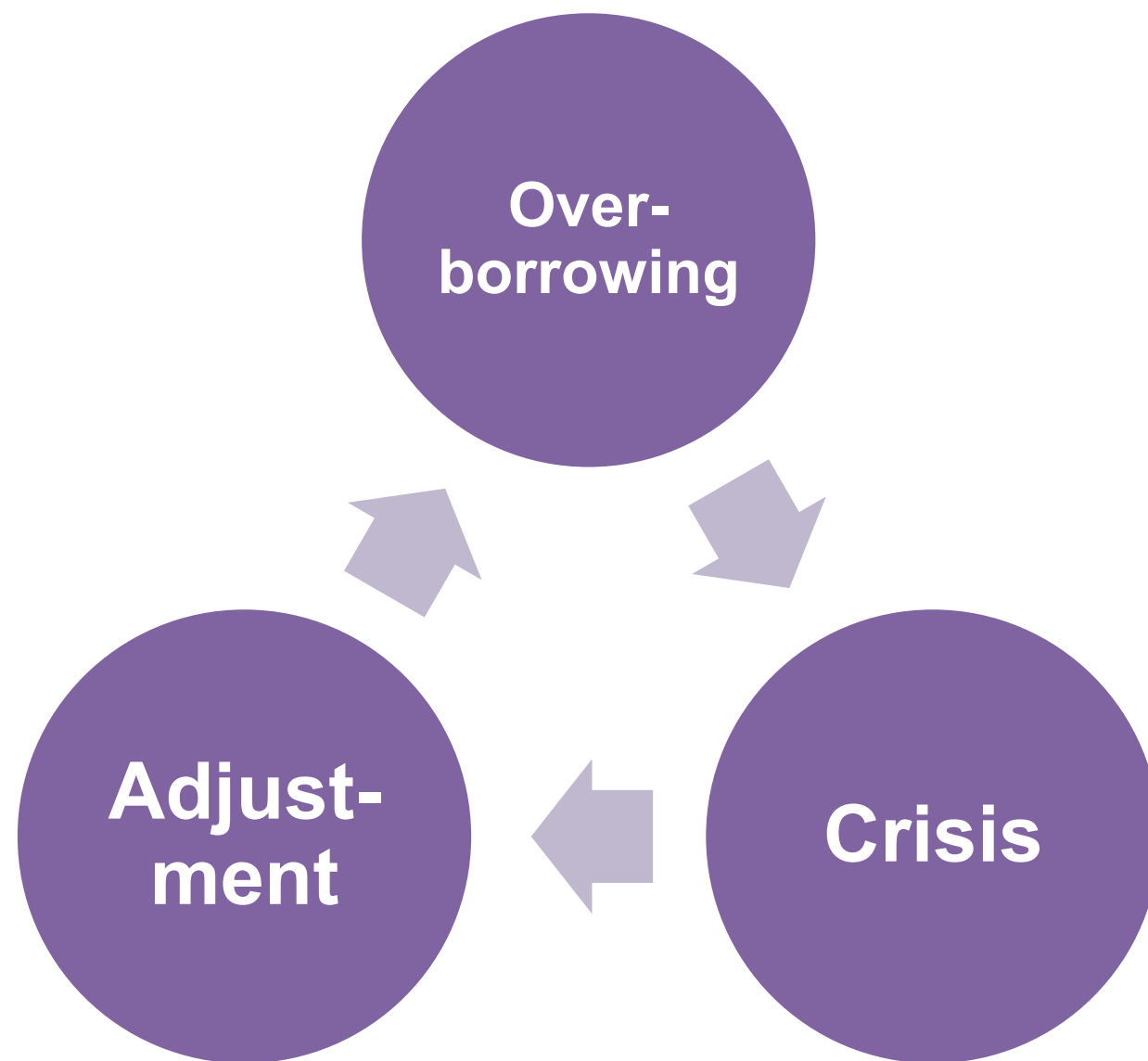


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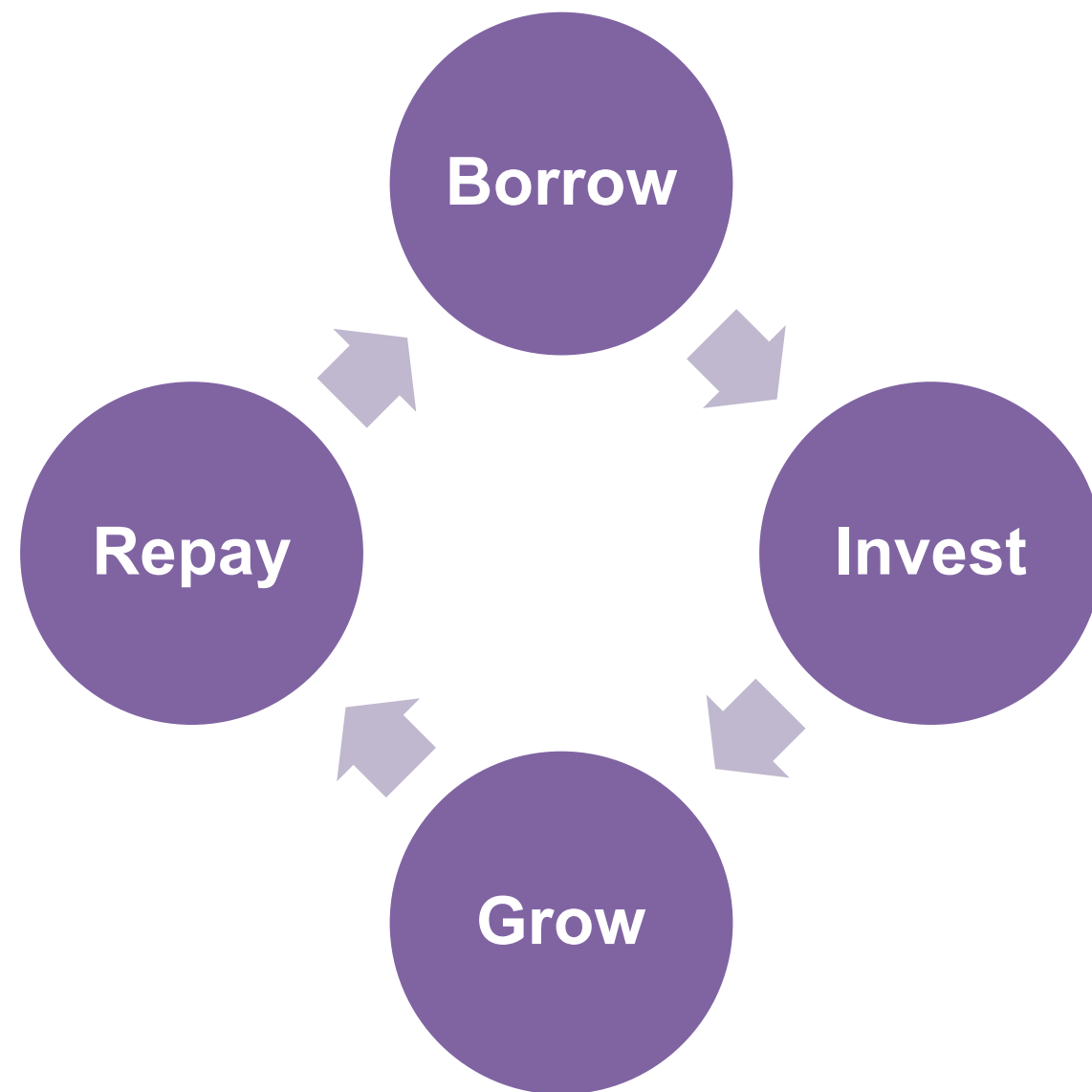
Why would you want...

- Free Capital Flow?
 - Draw on the savings of the rest of the world
 - Investment opportunities abroad
- Fixed Exchange Rate?
 - Reduce uncertainty in trade
- Sovereign Monetary Policy?
 - Address inflation/unemployment



Why Borrow

- Investment -> Economic Growth
- Where does money for investment come from?
 - Low savings domestically
 - Draw on the savings of the rest of the world (developed countries)



Different Types of Foreign Capital

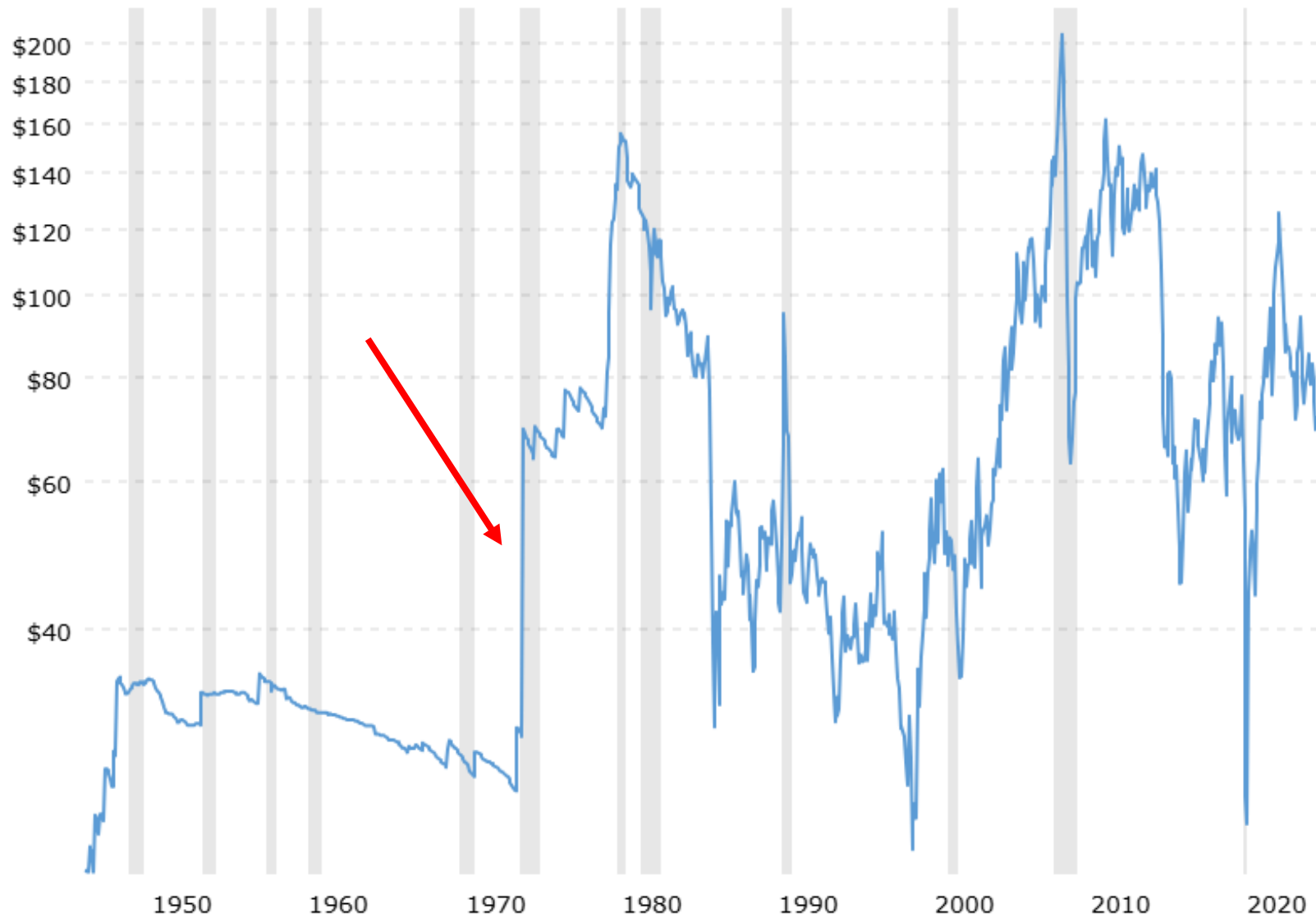
- Foreign Aid (Official Development Assistance)
 - Bilateral: USAID, OECD Development Assistance Committee (DAC), etc.
 - Multilateral: World Bank, etc.
- Private Capital
 - Commercial loans to firms or governments
 - Stocks from stock markets
 - Bonds sold by governments and firms
 - FDI by multinational corporations
- Remittances*

Private Capital — Why Lend?

- Higher expected returns
 - Lower savings and lack of capital in developing countries
- But also, higher risks
 - Risk of default
 - Political risk: political stability, property rights protections, etc.

Latin American Debt Crisis

Crude Oil Price



“Petrodollar Recycling”

- Oil shock → huge surpluses for oil-exporting countries (petrodollars)
- Petrodollars deposited in Western commercial banks
- Banks sought returns → lent heavily to developing countries
- How money moves:
 - Oil importers paid to →
 - Oil exporters deposited in →
 - Commercial banks lend to →
 - Oil importers

ISI and the Demand for Foreign Capital

- Governments drove industrialization via state-owned enterprises
- Rising public spending → growing budget deficits
- Deficits reached 6–10% of GDP by late 1970s
- External borrowing used to finance ISI
- ISI policies deepened reliance on foreign capital

Rapid Accumulating of Foreign Debt

- Supply: Petrodollar Recycling
- Demand: ISI policies require foreign capital
- Result: Heavily indebted Latin American countries
 - Argentina, Brazil, Chile, Colombia, Mexico, Peru, and Venezuela
 - Foreign debt in 1970: \$28 billion
 - Foreign debt in 1980: \$214 billion



From Growth to Crisis

GDP growth (annual %) - Latin America & Caribbean

World Bank national accounts data, and OECD National Accounts data files.

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- Initially, foreign debt fueled economic growth
- But foreign debt grows too rapidly
- While exports failed to keep pace
- Result: Rising debt-service ratios

Triple Shocks

1. Rising interest rates in the United States

- ↑ interest payments, ↑ debt-service costs

2. Recession in the industrialized world

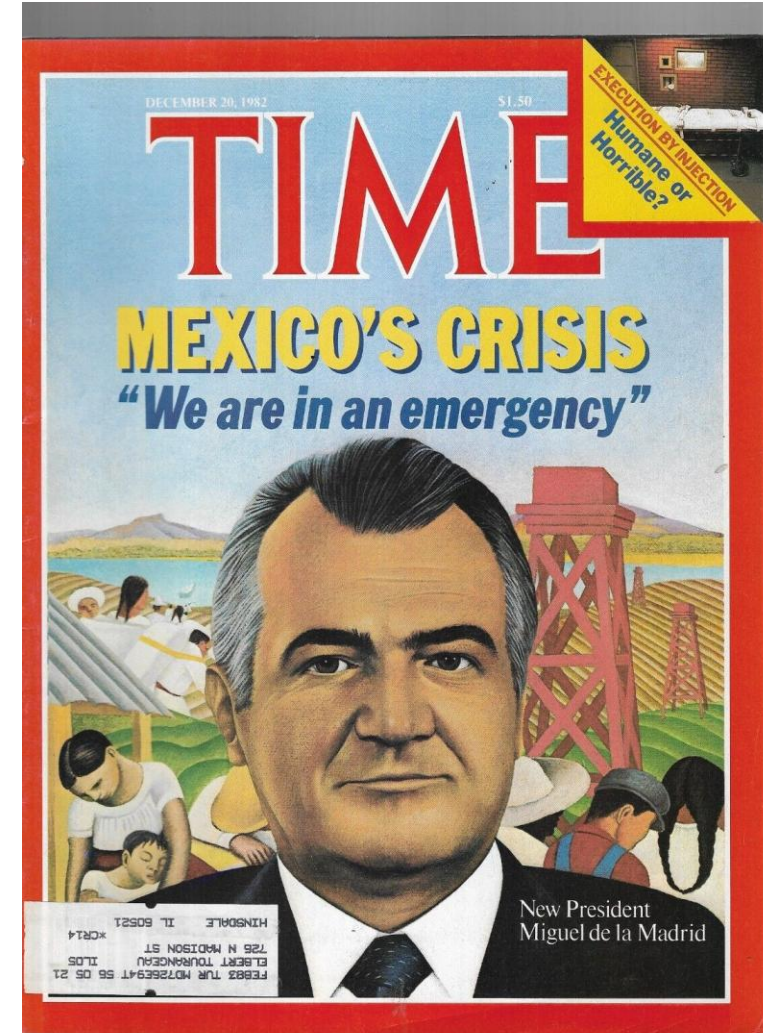
- ↓ demand for Latin American exports
- ↓ export revenues

3. Rising oil prices

- ↑ expenses on oil imports

1982 Debt Crisis

- August 1982: Mexico defaults
- Global panic: commercial banks cut off lending to all developing countries
- Immediate consequences
 - Budget deficits could no longer be financed
 - Forced fiscal austerity & reduced consumption
 - Economic collapse across Latin America



Managing the Debt Crisis

The International Monetary Fund (IMF)

- Established in 1944 at Bretton Woods to ensure global monetary stability
- Acts as a lender of last resort to countries in balance-of-payments crisis
- Offers loans with “conditionality”: borrowing requires implementing economic reforms



The Basic Deal

- By 1982, developing countries owed more than \$600 billion; many defaulted
- Creditor governments stepped in:
 - new loans + rescheduling in exchange for policy reform.
- Belief: Crisis = short-term liquidity problem, not solvency

Macroeconomic Stabilization: IMF's Playbook

- Focus on eliminating current-account deficits
- Budget cuts → lower domestic demand → fewer imports
- Currency devaluation → boost exports
- Goal: Shift to trade surplus, reduce need for new capital

From Stabilization to Structural Adjustment

- By mid-1980s, liquidity diagnosis shifted: crisis = structural
- Core belief:
 - ISI economies too inward, inefficient
 - Governments too heavily involved in economic activity
- Structural Adjustments:
 - Trade liberalization
 - FDI liberalization
 - Privatization
 - Deregulation

Who Bore the Burden?

Creditors

- Power from ***conditional lending***
- Challenge: free-rider problem
- Solution: the IMF to ensure unified terms

Debtors

- Power from ***collective default***
- Challenge: prisoner's dilemma
- Incentives to negotiate separately

Outcome: Creditors set the rules; debtors bore the adjustment costs.

The Domestic Politics of Economic Reform

Why Reform is Politically Difficult

- Economic reform often requires **short-term** pain for **long-term** gain
 - Reforms often **benefit future governments**, but impose costs on current leaders
 - Politicians have **electoral incentives** to delay or dilute reforms
- Creates **clear, immediate losers** and **diffuse, uncertain winners**
 - Public employees get laid off
 - Protected industries face competition
 - Middle-class no longer receives subsidies

Who Can Push Reform Through?

Key conditions:

- Strong executive leadership
- Unified government with few veto players

Authoritarian advantage?

- Time horizons & no electoral incentives?
- China's SOE reform in the 1990s: massive layoffs, but no electoral backlash

Democracies need:

- Coalition-building
- Targeted compensation

Thank You!



Take-away

- Foreign capital and development
- Debt-service capacity and overborrowing
- Petrodollar recycling
- ISI strategies and demand for external finance
- Latin American debt crisis
- IMF conditionality
- Structural adjustments
- Economic reforms